

# SOP\_05\_aml\_bsa\_reporting

## MERIDIAN TRUST BANK

### STANDARD OPERATING PROCEDURE — AML / BSA REPORTING

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|----------------|-----------------------|
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#### 1. Purpose

Standardize banker behaviour during the calls where Bank Secrecy Act and Anti-Money Laundering obligations are triggered — Currency Transaction Reports (CTRs), structuring patterns, Suspicious Activity Reports (SARs), and OFAC SDN hits — so that the bank meets its federal obligations without tipping off the customer.

#### 2. Pre-Conditions

- 3-of-5 identity verification complete (BNK-CC-RULE-004) for any account access.
- Banker has access to the AML/BSA Officer ticket queue and the OFAC live screen.

#### 3. Procedure

##### 3A. Currency Transaction Report (CTR) — BNK-REG-RULE-009

Triggered by cash deposits, withdrawals, currency exchange, or any cash transactions aggregating more than \$10,000 in a single business day for a single customer (or related customers, in which case aggregation rules apply).

1. The banker collecting the transaction initiates the CTR in the system.
2. Customer must provide the information needed for IRS Form 8300: full legal name, SSN/Tax ID, date of birth, occupation, address, government-issued ID details.
3. The banker may explain to the customer that a CTR is required by federal law for cash transactions over the threshold — this is NOT a tip-off; it is the standard disclosure.
4. The CTR is filed by Operations; the customer receives no follow-up.

##### 3B. Structuring Pattern — BNK-REG-RULE-010 (no-tip-off rule)

Triggered by a pattern that suggests deliberate avoidance of the CTR threshold: - Repeated cash deposits or withdrawals just under \$10,000 - Same-day deposits to multiple accounts that aggregate over \$10,000 - Withdrawals broken across multiple

branches or ATMs

### **Required banker behaviour:**

1. **DO NOT alert the customer in any way.** Do not change tone. Do not say “I notice these are just under the limit.” Do not say “the system has flagged this.” Do not say “I need to talk to someone.” Continue to serve the customer normally as if nothing is unusual.
2. **DO complete the transaction(s) the customer is requesting** if there is no other reason to decline. Suspecting structuring is NOT, by itself, a reason to refuse service.
3. **After the call**, immediately open an AML/BSA referral ticket to the BSA Officer with:
  - All observed transactions and amounts
  - Customer-provided rationale, if any
  - Branch / channel where each transaction occurred
4. **Never tell the customer** a referral has been made, considered, or is being reviewed (BNK-REG-RULE-011).

This is the most examination-critical AML behaviour. Tipping off a structurer is a federal crime under 31 USC 5324.

### **3C. Suspicious Activity Report (SAR) — BNK-REG-RULE-011 (no-tip-off rule)**

SARs are filed by the BSA Officer, NOT by the banker. The banker’s job is to observe, refer, and stay quiet.

The customer must NEVER be told: - That a SAR has been filed - That a SAR is being considered - That the customer’s transactions are under “AML review” or “BSA review” - That the customer’s account is “being looked at by Compliance for AML reasons”

If the customer asks why a transaction is delayed, banker may say “the transaction is under additional review” with no further detail (BNK-REG-RULE-012 same language for OFAC).

This rule applies even after the SAR period ends, even after the account closes, even years later. SARs are forever-confidential.

### **3D. OFAC SDN Hit — BNK-REG-RULE-012**

Triggered when an OFAC live screen returns a possible match for a customer, counterparty, or wire beneficiary against the SDN (Specially Designated Nationals) list.

1. **Stop the transaction immediately.** Do not process.
2. Tell the customer the transaction is “under additional review” — no further detail.
3. Escalate to the BSA Officer immediately via warm-line.
4. Do not unblock the transaction without explicit BSA Officer clearance.
5. If the hit is confirmed (true match), the transaction must be blocked and reported per OFAC reporting rules. The BSA Officer handles all communication after the initial banker freeze.

### **4. Common Failure Modes (QA Watch List)**

- Telling a customer “I notice you’re depositing just under ten thousand a few times” → BNK-REG-RULE-010 federal violation
- Telling a customer “we may need to file a SAR” → BNK-REG-RULE-011 federal violation

- Processing an OFAC-hit transaction before clearance → BNK-REG-RULE-012 violation
- Filling out a CTR by attributing the cash to someone other than the actual person making the transaction → CTR-falsification violation
- Refusing to serve a customer suspected of structuring (other than declining the specific structuring action) → operational error and potential discrimination claim

## **5. Compliance Anchors**

- The no-tip-off rule is absolute. Better to err on the side of saying nothing than risk a tip-off.
- The customer's perception during these calls should be that the call is completely routine.
- All AML/BSA activity routes via the BSA Officer; bankers do not file forms directly.
- BNK-CC-RULE-023 exception: post-call survey is NOT offered after any AML/BSA-flagged interaction.

## **6. Escalation**

- OFAC SDN hit → BSA Officer warm-line (immediate)
- Structuring pattern observed → AML/BSA ticket after the call (no on-call action)
- Customer asks pointed questions about AML / SAR / BSA → answer only "we cannot discuss the specifics of any internal review process," then refer to the BSA Officer ticket
- Banker themselves observes possible misconduct by a colleague (e.g. someone tipping off a customer) → Internal Fraud / Compliance hotline